

ent policy strategy if they wish to sustain growth past 2030.

Third, a messy network of alternative supply chains will have emerged by 2030 to take on Chinese dominance in many sectors. This is unlikely to be a neat Cold War-type parallel system but one where a combination of national strategies, trade pacts, geopolitical alliances, and specialised clusters will compete with a more Chinese-dominated one.

Nevertheless, both systems will be interacting with each other in an arena of shifting dynamics. Indeed, Chinese capital may well end up financing the alternative systems. This financing of rivals is not as unusual as it may seem at first sight—it was nineteenth-century British capital that financed German and American industrialisation, while Japanese and American capital financed the industrialisation of China from the late 20th century. India will have to figure out how to insert itself into this messy world and take advantage of the opportunities. This would include devising a framework for absorbing Chinese capital without compromising national security concerns.

Fourth, a combination of domestic policy reforms, late-stage mercantilism, and geopolitical alliances may allow the US to recapture its industrial dynamism in at least a few areas by 2030. For all its many flaws, American society still retains a level of flexibility that is rare in developed countries (contrast with Japan or Europe). However, this partial revival will only be made possible through economic trade-offs that are inherent to all forms of industrial policy. Let us say the Trump administration is successful in reigniting certain manufacturing sectors and making the US globally competitive in those products. This would suck in resources and

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workers from other areas at the same time that immigration is also being squeezed. In other words, a return of US industrial dynamism in some areas would only be possible if other things are sacrificed or outsourced. India is a potential beneficiary of such outsourcing or friend-shoring.

Fifth, by 2030, the socioeconomic impact of AI will be visible in many fields. This is not necessarily a thing to be feared if adopted and absorbed wisely. Contrary to popular belief that technologies always hurt the less skilled and help the more skilled, AI actually tilts the balance in favour of the less skilled. A person of modest education can now do things that earlier required specialised knowledge, such as drawing up a contract or making a presentation. Indeed, the ease of translation would make the flow of information radically smoother in a country like India. Whip out the phone, point it at some text, and listen to the translation in your language of choice. If the meaning is still unclear, ask the system to explain it in plain terms. Imagine the ease that an average Indian would suddenly enjoy, especially when it comes to understanding government rules and

regulations, doing taxes, and so on.

Finally, the battle for global narratives and markets will have moved from media or even social media to the control of data that drives the default responses of popular AI applications. The importance of data is increasingly understood, but by 2030, there will be many competing information sets. In turn, this will mean that attention will have to be paid to the gateways that give “credibility” and “legitimacy” to the information being used by these models. These gateways range from international agencies, national governments, reputed consultancies, chartered accountants, academic institutions, and so on. Global power will be exercised by those who have the authority to generate and certify different kinds of data, standards, norms, and so on. So far, this power still rests in the North Atlantic. By controlling its internal information systems, China protects itself from the exercise of this external power but sacrifices its ability to certify the rest of the world. In contrast, India participates in the global certification game but on the terms created by the North Atlantic. As its economy grows, India should seek greater clout in the global certification arena.

The above scenarios are no more than a guess based on current information. A complex world can flow down many unpredictable paths by 2030. Nonetheless, the policy implications over a large range of possibilities are that India would have to navigate between seemingly contrary pulls and pressures: maintain a strong link to a re-industrialising US but find a way to use Chinese capital and inputs to upgrade economic capability; introduce its low-skill workers to the latest tools in AI; and rather than “protect” itself like China in the global certification game, India should aim to be a major player. **BT**

Views are personal